

Scope Triage — Facilitator Guide

Day 1 · after Module 1 · 25 min total

How to run it

- **0–5 min:** hand out the participant sheet; pods read the five cases. Don't pre-explain the trap.
- **5–17 min:** pods fill the worksheet. Circulate and ask the probing questions below — don't correct, just pressure-test.
- **17–25 min:** debrief. Take a show of hands per case, surface disagreements, then land the punchline. Hand out the gold sheet at the very end.
- **Materials:** participant sheet per pod, whiteboard/markers, gold sheet held back until debrief.

Questions to ask while circulating

GENERAL (ANY POD)

- “You wrote ‘out of scope.’ Out of *what* — the document, or risk management entirely?”
- “If an examiner accepted your scope call, would you still be comfortable deploying this with no controls?”
- “Which decision does this system actually touch, and who is accountable when it's wrong?”

PER CASE

- **1 · Atlas PD:** “Why is this the easy one? What exact words in the model definition make it in-scope?”
- **2 · ClearList:** “Footnote 3 takes it out of SR 26-2. Name three other regimes that still apply to AML decisioning.”
- **3 · MemoWriter:** “Is it even a model? If not, does that make it safer — or just unsupervised?”
- **4 · Cardinal:** “Would your answer change the day the acquisition closes? What changed — the model, or the entity?”
- **5 · Second Line:** “This one is out of scope but it's reviewing in-scope models. What could go wrong with that?”

Misconceptions to watch for

- **“Out of scope = no governance.”** The whole exercise. If a pod says this, don't correct it — ask the “out of what?” question and let them find it.
- **“A human in the loop means it isn't a model / isn't risky.”** Surfaces on MemoWriter; flag it for the HITL module.
- **Scope as a property of the model, not the institution.** Cardinal is designed to break this; some pods miss the asset threshold entirely.
- **Treating SR 26-2 as the only authority.** Push them toward BSA/AML, consumer law, safety-and-soundness.

Debrief — land this

Read the room's “governance?” column back to them: nearly every case is “yes,” even the ones they put out of scope. **The punchline:** a scope determination answers “does this specific guidance apply?” — not “is this safe to deploy?” Using the first to answer the second is how a bank ends up with an ungoverned LLM (Second Line) sitting inside its own control chain. That recursion is Pod 05's curveball; this is where it's seeded.

How it connects

Three of the five cases are live pods (ClearList → 01, MemoWriter → 02, Second Line → 05), so those pods are debating their own use case. The “out of scope ≠ ungoverned” idea recurs in the SR 26-2 callouts across the course and is the backbone of Pod 05's curveball at the Day-1 reveal.

Illustrative for the exercise only. Scope determinations are bank- and fact-specific and rest on the institution's own policies and examiner dialogue. Nothing here is legal or regulatory advice.